



Chapter 6

Corporate Ownership: Equity Securities

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» Understanding the types of equity securities

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» Calculating certain values for stock questions

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Equity securities — such as common and preferred stock — represent ownership interest in the issuing company. All publicly held corporations issue equity securities to investors. Investors love these securities because they've historically outperformed most other investments, so an average (or above-average, in your case) stockbroker sells more of these types of securities than any other kind.

The SIE exam tests you on your ability to recognize the types of equity securities and on some other basic information. Although you may find that the SIE doesn't test you heavily on the info provided here, this chapter forms a strong foundation for many other chapters in the book. I think that you'll find it difficult (if not impossible) to understand what an option or mutual fund is if you don't know what a stock is. Needless to say, even though this chapter is small, don't ignore it or it may come back to bite you.

Beginning with the Basics: Common Stock

Corporations issue common stock (as well as other securities) to raise business capital. As an equity security, common stock represents ownership of the issuing corporation. If a corporation issues 1 million shares of stock, each share represents one-millionth ownership of the issuing corporation. Read on for the ins and outs of common stock.

Stockholders have *limited liability*. Stockholders' liability is limited to the amount invested. In other words, if a corporation that you invested in goes belly up, you lose only what you invested and nobody will come knocking on your door for additional bucks. If a corporation goes bankrupt, it must distribute any remaining assets in the following way (also known as the *order of liquidation*):

1. **Unpaid workers**

2. **The IRS**

3. **Secured creditors**

Secured creditors have issued loans that are secured with collateral, bonds, and so forth.

4. **General creditors**

General creditors have issued unsecured loans, which are not secured with collateral (bank loans, accounts payable, and so on).

5. **Subordinated debentures**

Subordinated debentures are junior, unsecured bonds and holders of subordinated debentures are the last *creditors* to be paid in the event of corporate bankruptcy.

6. **Preferred stockholders**

7. **Common stockholders**



REMEMBER Common stockholders have what are known as *residual rights*, which means they are the last to get paid in the event of corpo-

rate bankruptcy. Bonds and preferred stock are considered *senior securities* in relationship to common stock.

Understanding a stockholder's voting rights

One of the most basic rights that most common stockholders receive is voting rights — although rarely corporations issue *nonvoting common stock*. Nonvoting stock may be issued by corporations to protect their board of directors, but it's not as attractive to investors who like to have some control over who's running the company. Most preferred stock is nonvoting.

When investors have voting rights, every so often a corporation may have those investors vote to change members on the board of directors. Although investors may be able to vote on other issues (like stock splits — see “[Splitting common stock](#)” later in this chapter), the SIE focuses on voting to change board members.

Because having all stockholders actually attend the annual corporate meeting to vote would be difficult, stockholders usually vote by *proxy*, or absentee ballot.

Statutory (regular) voting

Statutory, or regular, voting is the most common type of voting that corporations offer to their shareholders. This type of voting is quite straightforward. Investors receive one vote for every share that they own multiplied by the number of positions to be filled on the board of directors (or issues to be decided). However, investors have to *split the votes evenly* for each item on the ballot.

For example, if an investor owns 500 shares and there are four positions to be filled on the board of directors, the investor has a total of 2,000 votes (500×4), which the investor must split evenly among all open positions (500 each). The investor votes yes or no for each candidate.

Cumulative voting

Cumulative voting is a little different from statutory voting (see the preceding section). Although the investor still gets the same number of overall votes as if the corporation were offering statutory voting, the stockholder can vote the shares in any way she sees fit. Cumulative voting gives smaller shareholders (in terms of shares) an easier chance to gain representation on the board of directors.

For example, if an investor owns 1,000 shares and three positions on the board of directors are open, the investor has a total of 3,000 votes (1,000 shares $\times$ 3 candidates), which the investor can use to vote for any candidate(s) in any way she sees fit.



REMEMBER Cumulative voting doesn't give an investor more voting power, just more voting flexibility. The only way to get more voting power is to buy more shares.

Proxies: Voting by mail

Regardless of whether a corporation offers statutory or cumulative voting, when a corporation requires a vote on certain issues — such as splitting its stock, voting for members on the board of directors, and so on — shareholders (since they are owners) are allowed to vote unless the corporation issued non-voting stock (Class B shares). Certainly, the more shares you own, the more voting power you have. Now, suppose you live in New York City and the vote is taking place in Los Angeles ... what do you do? Well, short of taking a trip across the country, you can vote by proxy (basically an absentee ballot). So, what happens is the issuer will send you a proxy, which will describe the issue(s) to be voted on. You can check the box describing how you want to vote and mail it back. By doing that, you are actually authorizing (giving a lim-

ited power of attorney to) another person to vote according to your wishes. A *transfer agent* is responsible for sending out proxies.

Proxy contests

A *proxy fight* or *proxy battle* is an unfriendly event that occurs when a group of stockholders of a corporation decide to vote together to help gain control of the corporation. This usually happens when the stockholders are not happy with the way the corporation is being run. They are typically trying to replace members of the board of directors or individuals in management positions.

Categorizing shares corporations can sell

All publicly held corporations have a certain quantity of shares that they can sell based on their corporate charter. These shares are broken down into a few categories depending on whether the issuer or investors hold the shares:

- **Authorized shares:** Authorized shares are the number of shares of stock that a corporation can issue. The issuer's bylaws or *corporate charter* (a document filed with the state that identifies the names of the founders of the corporation, the company's objectives, and so on) states the number of shares the company is authorized to sell. However, the issuer usually holds back a large percentage of the authorized stock (which it can sell later through a primary offering — see [Chapter 5](#) for details on offerings).
- **Issued shares:** Issued shares are the portion of authorized shares that the issuer has sold to the public to raise money.
- **Outstanding shares:** Outstanding shares are the number of shares that are in investors' hands. This quantity may or may not be the same number as the issued shares. At times, an issuer may decide to repurchase its stock in the market to either help increase the demand (and the price) of the stock trading in the market or to avoid a *hostile takeover* (when another company is trying to gain control

of the issuer). Stock that the issuer repurchases is called *treasury stock*.

The standard formula for outstanding shares follows:

$$\text{outstanding} = \text{issued} - \text{treasury}$$

Considering the par value of common stock

Par value for common stock is not as important to investors as it is to bondholders and preferred stockholders (see the later section “[Considering characteristics of preferred stock](#)”). *Par value* for common stock is more or less a bookkeeping value for the issuer. Although issuers may set the par value at \$1 (or \$5, \$10, or whatever), the selling price is usually much more. A stock’s par value has no relation to the market price of the stock.



REMEMBER The amount over par value that an issuer receives for selling stock is called *paid-in capital*, *paid-in surplus*, or *capital surplus*.

The *stated par value* is printed on the stock certificate; it may change as the result of corporate actions such as a stock split (see “[Splitting common stock](#)” later in this chapter). An issuer can also issue *no par value stock* (stock issued without a stated par value); in this case, the stock has a stated value that the corporation uses for bookkeeping purposes. A lack of par value doesn’t affect investors.

Corporate actions

Besides just attempting to build their business, corporations may take other actions that will affect the price of their securities. They can split their stock (see the next section, “[Splitting common stock](#)”), reverse split their stock (see the section “[Reverse splits](#)”), or engage in buy-backs, tender offers, exchange offers, rights offerings (see the later

section “Rights: The right to buy new shares at a discount”), mergers, or acquisitions.

- **Buybacks:** This happens when a cash-rich corporation repurchases some of its own shares in the market. Buybacks typically increase the market value of the underlying security. After a successful buyback, fewer shares will be outstanding.
- **Tender offers:** This is when a corporation, person, or group attempts to gain control (make a *takeover bid*) of a corporation (the *target corporation*). A tender offer is typically announced in financial publications, and the offer will be at a premium to the market value of the securities. Tender offers are only for a specified period of time, and the purchaser will require a minimum number of shareholders (in other words, holders of over 50 percent of the outstanding shares of the target corporation) to agree or the offer is canceled. Tender offers increase the market price of the securities being targeted.
- **Exchange offers:** Sometimes a corporation may decide to exchange some of its securities for other ones. For example, a corporation may offer its bondholders the right to exchange certain debt securities for stock to reduce the corporation’s debt. Or, the corporation may offer to exchange 4 percent bonds due to mature in 2 years with 5 percent bonds due to mature in 20 years, thus extending the amount of time the corporation has to pay back its debt.
- **Mergers:** Two existing corporations may decide to merge (combine) their two companies into one larger one. This is often done to gain market share, expand a corporation’s reach, or possibly to expand into new segments. Mergers typically have a positive impact on investors.
- **Acquisitions:** As compared to mergers, where two corporations are working together to make one big corporation, an acquisition happens when a larger corporation takes control of a smaller one or a portion of another corporation. For one corporation to acquire another, it must obtain a majority ownership of the target corporation.

**TIP**

As you can imagine, in the event of a corporate action such as a stock split, a merger, an acquisition, and so on, investors of the securities must be notified. For public companies listed on an exchange such as the New York Stock Exchange, the exchanges handle the notification of their clients as well as make the information available online. If the securities trade over-the-counter (OTC), FINRA (the Financial Industry Regulatory Authority) is responsible for handing the announcement.

Splitting common stock

You may ask yourself, “Why would a company split its stock?” The obvious answer is that the company wants to make the market price of the security more attractive. The normal unit of trading is 100 shares of stock (*a round lot*) and if the price of a security gets too high, the number of investors who can purchase it becomes limited. If Microsoft had never split its stock (which it has already done nine times), a round lot would cost investors about \$750,000 at the time of this writing. Know a lot of investors who could afford that?

Companies may alternatively use a reverse split, consolidating shares so they can raise the price of the stock and perhaps boost investor confidence. The next couple of sections take you through splits so you know them forward and backward.

**REMEMBER** Stockholders can vote on stock splits (please see

“[Understanding a stockholder’s voting rights](#)” earlier in the chapter for info on types of voting). Be aware that after a stock split, investors may have more or fewer votes, but they still hold the same percentage of votes. When a company splits its stock, the number of authorized

shares needs to be changed on the *corporate charter* (see the earlier section “[Categorizing shares corporations can sell](#)”).

Forward splits

During a *forward stock split*, the number of shares increases and the price decreases without affecting the total market value of the outstanding shares. After a company forward splits its stock, investors receive additional shares, but the market price (and par value) per share drops. A forward split may be *even* such as a 2-for-1, 3-for-1, 4-for-1 and so on, or *uneven* such as a 3-for-2, 5-for-3, 5-for-2 and so on. You will find that regardless of whether the forward split is even or uneven, the same formula works. Check out the following equations where A represents the first number and B represents the second number.

Use the following calculations to figure out an investor’s position after an A -for- B split:

$$\text{shares after a split} = \text{shares} \times \frac{A}{B}$$

$$\text{price after a split} = \text{stock price} \times \frac{B}{A}$$

The following question tests your ability to answer a stock split question.



EXAMPLE Bob Billingham owns 1,200 shares of DEF common stock at a current market price of \$90 per share. If DEF splits its stock 3-for-1, what would Bob’s position be after the split?

- (A) 400 shares at \$270 per share
- (B) 400 shares at \$90 per share
- (C) 3,600 shares at \$33.33 per share
- (D) 3,600 shares at \$30 per share

The answer you're looking for is Choice (D). A forward stock split, like a 3-for-1, increases the number of shares and decreases the price of the stock, so you can immediately cross off Choices (A) and (B). Now check your work:

$$1,200 \text{ shares} \times \frac{3}{1} = 3,600 \text{ shares}$$

$$\$90 \times \frac{1}{3} = \$30$$

**TIP**

A good way to double-check your work is to make sure that the overall value of the investment doesn't change after the split. Using the example, Bob had \$108,000 worth of DEF (**1,200 shares** $\times$ **\$90**) before the split, and after the split he has \$108,000 worth of DEF (**3,600 shares** $\times$ **\$30**).

Reverse splits

A reverse stock split has the opposite effect on a security than a forward split does; with a reverse split, the market price of the security increases and the number of shares decreases. As with forward stock splits, the overall market value of the securities doesn't change. A company may reverse split its stock if the market price gets too low, whereby potential investors may think the company has a problem.

In the event of a reverse split, investors usually have to send in their old shares to the transfer agent to receive the new shares. If a company were executing a 1-for-3 reverse split, investors would receive one new share for every three they sent in.

**TIP**

You can use the same formula to determine an investor's position after a reverse split that you use for forward splits.

The following question tests your ability to answer a reverse stock split question.



EXAMPLE Betty Billings owns 3,600 shares of GHI common stock at a current market price of \$2 per share. If GHI reverse splits its stock 1-for-5, what would Betty's position be after the split?

- (A) 600 shares at \$10 per share
- (B) 720 shares at \$10 per share
- (C) 18,000 shares at \$0.40 per share
- (D) 18,000 shares at \$10 per share

The correct answer is Choice (B). With a reverse split, the number of shares has to decrease and the price has to increase, so you can immediately eliminate Choices (C) and (D). Check your work:

$$3,600 \text{ shares} \times \frac{1}{5} = 720 \text{ shares}$$
$$\$2 \times \frac{5}{1} = \$10$$

Sharing corporate profits through dividends

If a corporation is profitable (and the board of directors is in a good mood), the board of directors may decide to issue a dividend to investors. If and/or when the corporation declares a dividend, each shareholder is entitled to a *pro rata* share of dividends, meaning that every shareholder receives an equal proportion for each share that she owns. The SIE exam expects you to know the forms of dividends an investor can receive and how the dividends affect both the market price of the stock and an investor's position. Although the investor can receive dividends in cash, stock, or *property forms* (stock of a sub-

sidiary company or sample products made by the issuer), I focus on cash and stock dividends because those scenarios are more likely.



REMEMBER Investors can't vote on dividends; instead, the board of directors decides dividend payouts. You can imagine that if this decision were left in the investors' hands, they'd vote for dividends weekly! For more info on voting, see "[Understanding a stockholder's voting rights](#)," earlier in this chapter.

Cash dividends

Cash dividends are a way for a corporation to share its profits with shareholders. When an investor receives cash dividends, it's a taxable event. Corporations aren't required to pay dividends; however, dividends provide a good incentive for investors to hold onto stock that isn't experiencing much growth. Although cash dividends are nice, the market price of the stock falls on the *ex-dividend date* (the first day the stock trades without a dividend) to reflect the dividend paid:

$$\text{stock price} - \text{dividend} = \text{price on ex-dividend date}$$

Try your hand at answering a cash dividend question.



EXAMPLE ABC stock is trading for \$49.50 on the day prior to the ex-dividend date. If ABC previously announced a \$0.75 dividend, what will be the next day's opening price?

(A) \$48.25

(B) \$48.75

(C) \$49.50

(D) \$50.25

The correct answer is Choice (B). Check your work:

$$\$49.50 - \$0.75 = \$48.75$$

The math's as simple as that. Because stocks are now trading in pennies instead of eighths like they used to, calculating the price on the ex-dividend date is a snap.

Stock dividends

Stock dividends are just like forward stock splits in that the investor receives more shares of stock (see the earlier section “[Splitting common stock](#)”), only the corporation gives a percentage dividend (5 percent, 10 percent, and so on) instead of splitting the stock 2-for-1, 3-for-1, or whatever. Unlike cash dividends, stock dividends aren't taxable to the stockholder because the investor's overall value of investment doesn't change.

The primary reason for a company to give investors a stock dividend is to make the market price more attractive to investors (if the market price gets too high, it limits the number of investors who can purchase the stock), thus adding *liquidity* (ease of trading) to the stock.

The following question tests your expertise in answering stock dividend questions.



EXAMPLE Terry Trader owns 400 shares of OXX common stock at \$33 per share. OXX previously declared a 10 percent stock dividend. Assuming no change in the market price of OXX prior to the dividend, what is Terry's position after the dividend?

- (A) 400 shares at \$30
- (B) 440 shares at \$33
- (C) 400 shares at \$36.30
- (D) 440 shares at \$30

The answer you want is Choice (D). In this case, you can find the answer without doing any math. Because the number of shares increases, the price of the stock has to decrease. Therefore, the only answer that works is Choice (D). I can't guarantee that you'll get a question where you don't have to do the math, but don't rule it out; scan the answer choices before pulling out your calculator.

Anyway, here's how the numbers work. You have to remember that the investor's overall value of investment doesn't change. Terry gets a 10 percent stock dividend, so she receives 10 percent more shares. Now Terry has 440 shares of OXX (400 shares + 40 shares [10 percent of 400]). Next, you need to determine her overall value of investment:

$$400 \text{ shares} \times \$33 = \$13,200$$

Because the overall value of investment doesn't change, Terry needs to have \$13,200 worth of OXX after the dividend:

$$\frac{\$13,200}{440 \text{ shares}} = \$30 \text{ per share}$$

Terry's position after the split is 440 shares at \$30 per share.



REMEMBER When you or one of your clients owns securities subject to corporate actions such as splits, stock dividends, mergers, and so on, the securities are going to change. In some cases, such as forward stock splits and stock dividends, you or your client will receive more shares at a lower cost basis and the cost basis of the shares held will

be lowered accordingly. The adjustment to the cost basis is important for tax purposes.

For argument's sake, say that you purchased 1,000 shares of UPPP Corporation at \$40 per share. In this case, you have stock with a cost basis of \$40,000 (1,000 shares at \$40 per share). If the stock splits 2 for 1, you will have 2 shares for every 1 purchased. The corporation is not just giving you another \$40,000 worth of stock, it cut the price in half to adjust for the split. So, as your market price gets cut in half, so does the cost basis per share. In the example, you would now have 2,000 shares with a cost basis of \$20 per share (\$40,000 cost basis) even if the market value is \$55,000. In the event of a split, the issuer would mail new securities at a lower par value and give you a sticker to place on the old securities to lower the par value. In the event of an exchange offer, merger, or acquisition, the security that you're holding would likely change. In this case (assuming you were physically holding the security), the issuer would be responsible for mailing the new security. Whether the securities are physically held or in book-entry form, the issuer must update its books for any changes.

Getting Preferential Treatment: Preferred Stock

Equity securities represent shares of ownership in a company, and debt securities, well, represent debt (see [Chapters 7](#) and [8](#) for info on debt securities). Although preferred stock has some characteristics of both equity and debt securities, preferred stock is an equity security because it represents ownership of the issuing corporation the same way that common stock does.

Considering characteristics of preferred stock

One advantage of purchasing preferred stock over common stock is that preferred shareholders receive money back (if there's any left) before common stockholders do if the issuer declares bankruptcy.

However, the main difference between preferred stock and common

stock has to do with dividends. Issuers of common stock pay a cash dividend only if the company's in a position to share corporate profits. By contrast, issuers of preferred stock are required to pay consistent cash dividends. Preferred stock generally has a par value of \$100 per share and tends to trade in the market somewhere close to that par value.

Some of the drawbacks of investing in preferred stock over common stock are the lack of voting rights, the higher cost per share (usually), and limited growth. You can assume for SIE exam purposes that preferred stockholders don't receive voting rights unless they fail to receive their expected dividends (a few other exceptions exist, but you don't need to worry about them now). Also, because the price of preferred stock remains relatively stable, preferred stockholders may miss out on potential gains that common stockholders may realize.



REMEMBER If the issuer can't make a payment because earnings are low, then in the case that the preferred stock is *cumulative* (see the next section, "[Getting familiar with types of preferred stock](#)"), owners are still owed the missing dividend payment(s). The dividend (sharing of profits) that preferred stockholders receive is based on par value. Thus, although par value may be nothing more than a bookkeeping value when you're dealing with common stock, par value is definitely important to preferred stockholders.

To calculate the annual dividend, multiply the percentage of the dividend by the par value. For instance, if a customer owns a preferred stock that pays an 8 percent dividend and the par value is \$100, you set up the following equation:

$$8\% \text{ preferred stock} \times \$100 \text{ par} = \$8 \text{ per year in dividends}$$

If the issuer were to pay this dividend quarterly (once every three months), an investor would receive \$2 every three months.



REMEMBER When working on a dividend question on preferred stock, you need to look for the par value in the problem. It's normally \$100, but it could be \$25, \$50, and so on.

Getting familiar with types of preferred stock

You need to be aware of several types of preferred stock for the Series 7. This section gives you a brief explanation of the types and some of their characteristics. Some preferred stock may be a combination of the different types, as in cumulative convertible preferred stock. Here are the distinctions between noncumulative and cumulative preferred stock:

- **Noncumulative (straight) preferred:** This type of preferred stock is rare. The main feature of preferred stock is that investors receive a consistent cash dividend. In the event that the issuer doesn't pay the dividend, the company usually still owes it to investors. This isn't the case for noncumulative preferred stock. If the preferred stock is noncumulative and the issuer fails to pay a dividend, the issuer doesn't owe it to investors. An investor may choose noncumulative preferred stock over common stock because the company is still supposed to pay a consistent cash dividend.
- **Cumulative preferred:** Cumulative preferred stock is more common. If an investor owns cumulative preferred stock and doesn't receive an expected dividend, the issuer still owes that dividend. If the issuer declares a common dividend, the issuer first has to make up all delinquent payments to cumulative preferred stockholders.

The following question tests your understanding of cumulative preferred stock.



EXAMPLE An ABC investor owns 8 percent cumulative preferred stock (\$100 par). In the first year, ABC paid \$6 in dividends. In the second year, it paid \$4 in dividends. If a common dividend is declared the following year, how much must the preferred shareholders receive?

- (A) \$6
- (B) \$8
- (C) \$12
- (D) \$14

The right answer is Choice (D). Because ABC is cumulative preferred stock, issuers have to catch up preferred stockholders on all outstanding dividends before common shareholders receive a dividend. In this example, the investor is supposed to receive \$8 per year in dividends ($8\% \times \$100 \text{ par}$). In the first year, the issuer shorted the investor \$2; in the second year, \$4. The investor hasn't yet received payment for the following year, so she is owed \$8. Add up these debts:

$$(\$8 - \$6) + (\$8 - \$4) + \$8 = \$2 + \$4 + \$8 = \$14$$

All preferred stock has to be either cumulative or noncumulative. Both types may have other features, including the ability to turn into other kinds of stock, offerings of extra dividends, and other VIP treatment. I run through some of these traits in the list that follows:

- **Convertible preferred:** Convertible preferred stock allows investors to trade their preferred stock for common stock of the same company at any time. Because the issuers are providing investors with another way to make money, investors usually receive a lower dividend payment than with regular preferred stock.

The *conversion price* is the dollar price at which a convertible preferred stock par value can be exchanged into a share of common stock. When the convertible preferred stock is first issued, the conversion price is specified and is based on par value. The *conversion ratio* tells you the number of shares of common stock that an investor receives for converting one share of preferred stock. You can use the following conversion ratio formula for convertible preferred stock and also for convertible bonds (see [Chapter 7](#) for info on convertible bonds):

$$\text{conversion ratio} = \frac{\text{par value}}{\text{conversion price}}$$



REMEMBER The conversion ratio helps you determine a *parity price* where the convertible preferred stock and common stock would be trading equally. For example, say you have a convertible preferred stock that's exchangeable for four shares of common stock. If the convertible preferred stock is trading at \$100 and the common stock is trading at \$25, they're on parity because four shares of stock at \$25 equal \$100. However, if there's a disparity in the exchange values, converting may be profitable. If the convertible preferred stock is trading at \$100 and the common stock is trading at \$28, the common stock is trading above parity; converting makes sense because investors are exchanging \$100 worth of securities for \$112 worth of securities ($\$28 \times 4$).

- **Callable preferred:** Callable preferred stock allows the issuer to buy back the preferred stock at any time at a price on the certificate. This stock is a little riskier for investors because they don't have control over how long they can hold the stock, so corporations usually pay a higher dividend on callable preferred stock than on regular preferred stock.
- **Participating preferred:** Although rarely issued, participating preferred stock allows the investors to receive common dividends in addition to the usual preferred dividends.

- **Prior (senior) preferred:** Preferred stockholders receive compensation before common stockholders in the event of corporate bankruptcy. In this case, senior preferred stockholders receive compensation even before other preferred stockholders. Because of the extra safety factor, senior preferred stock pays a slightly lower dividend than other preferred stock from the same issuer.
- **Adjustable (floating rate) preferred:** Holders of adjustable preferred stock receive a dividend that's reset every six months to match movements in the prevailing interest rates. Because the dividend adjusts to changing interest rates, the stock price remains more stable.

Securities with a Twist

Some securities fall outside the boundaries of the more normal common and preferred stock, but I still include them in this equities chapter because they involve ownership in a company or the opportunity to get it. This section gives you an overview of those special securities.

Opening national borders: ADRs

American Depositary Receipts (ADRs) are receipts for foreign securities traded in the United States. ADRs are negotiable certificates (they can be sold or transferred to another party) that represent a specific number of shares (usually one to ten) of a foreign stock. ADR investors may or may not have voting privileges. U.S. banks issue them; therefore, investors receive dividends in U.S. dollars. The stock certificates are held in a foreign branch of a U.S. bank (the custodian bank) and, to exchange their ADRs for the actual shares, investors return the ADRs to the bank that's holding the shares. In addition to the risks associated with stock ownership in general, ADR owners are subject to currency risk (the risk that the value of the security may decline because the value of the currency of the issuing corporation may fall in relation to the U.S. dollar). For information on how the strength of the dollar af-

fects the relative prices of goods in the international market, flip to [Chapter 13](#).

Rights: The right to buy new shares at a discount

Corporations offer rights (subscription or preemptive rights) to their common stockholders. To maintain their proportionate ownership of the corporation, *rights* allow existing stockholders to purchase new shares of the corporation at a discount directly from the issuer, before the shares are offered to the public. Stockholders receive one right for each share owned. The rights are short-term (usually 30 to 45 days). The rights are marketable and may be sold by the stockholders to other investors. If existing stockholders don't purchase all the shares, the issuer offers any unsold shares to a standby underwriter. A *standby underwriter* is a broker-dealer that purchases any stock that wasn't sold in the rights offering and then resells the shares to other investors.



TIP

For the SIE exam, you can assume that common stockholders automatically receive rights.

Warrants: The right to buy stock at a fixed price

Warrants are certificates that entitle the holder to buy a specific amount of stock at a fixed price; they're usually issued along with a new bond or stock offering. Warrant holders have no voting rights and receive no dividends. Bundled bonds and warrants or bundled stock and warrants are called *units*. They are long term and sometimes perpetual (without an expiration date). Warrants are *sweeteners* because they're something that the issuer throws into the new offering to make the deal more appealing; however, warrants can also be sold separately on the market. When warrants are originally issued, the

warrant's exercise price is set well above the underlying stock's market price.

For example, suppose QRS warrants give investors the right to buy QRS common stock at \$20 per share when QRS common stock is trading at \$12. Certainly, exercising their warrants to purchase QRS stock at \$20 wouldn't make sense for investors when they can buy QRS stock in the market at \$12. However, if QRS rises above \$20 per share, holders of warrants can exercise their warrants and purchase the stock from the issuer at \$20 per share.